AI

# Microsoft in talks to maintain access to OpenAI’s tech beyond AGI milestone

Rebecca Bellan — 7:44 AM PDT · July 29, 2025

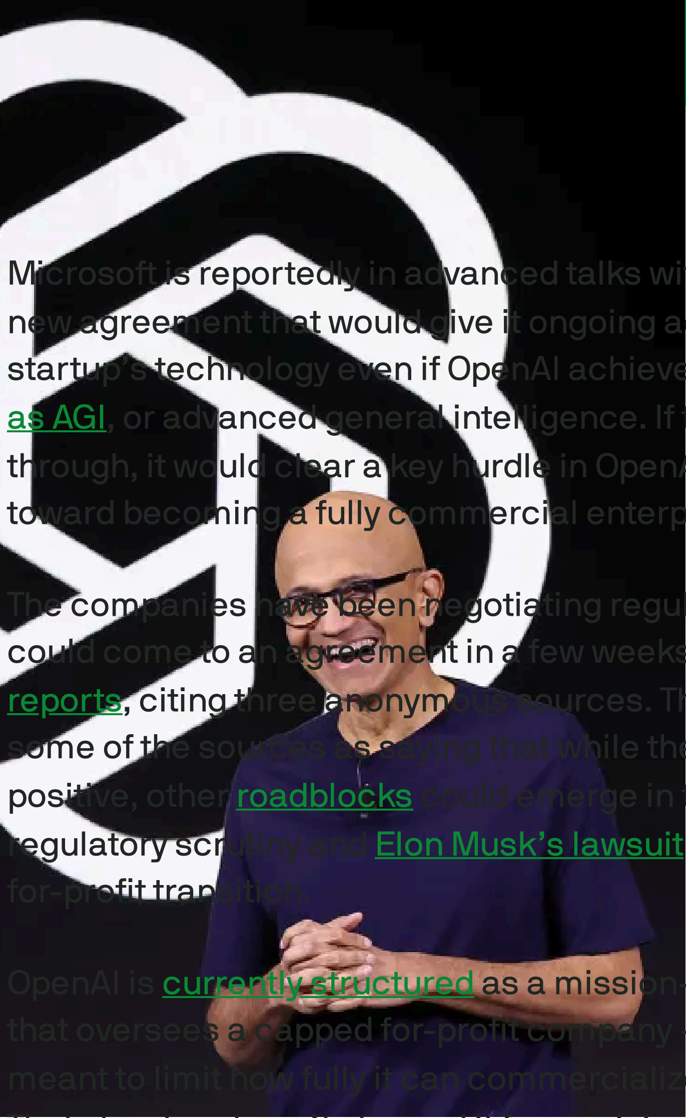

IMAGE CREDITS: JUSTIN SULLIVAN / GETTY IMAGES

Microsoft is reportedly in advanced talks with OpenAI for a new agreement that would give it ongoing access to the startup's technology even if OpenAI achieves what it defines as AGI, or advanced general intelligence. If the deal goes through, it would clear a key hurdle in OpenAI's transition toward becoming a fully commercial enterprise.

The companies have been negotiating regularly, and they could come to an agreement in a few weeks, Bloomberg reports, citing three anonymous sources. The report cited some of the sources as saying that while the talks have been positive, other roadblocks could emerge in the form of regulatory scrutiny and Elon Musk's lawsuit to block OpenAI's for-profit transition.

OpenAI is currently structured as a mission-driven nonprofit that oversees a capped for-profit company — a setup that's meant to limit how fully it can commercialize or raise money. That structure hasn't stopped it from raising billions and operating like a traditional tech company, but OpenAI still wants to shake off its constraints.

Microsoft, OpenAI's biggest backer with $13.75 billion invested and rights to some of the ChatGPT maker's IP, has put up meaningful roadblocks to OpenAI's future as a for-profit company, with talks dragging on for months.

Microsoft wants a bigger stake in the restructured company and seeks to secure its access to OpenAI's tech beyond the current deal, which ends in 2030 or whenever OpenAI says it has achieved AGI — though no one can really agree on what that means.

Microsoft has built its Azure OpenAI Service around the smaller company's models, and has integrated the startup's tech into Copilot across Windows, Office, and GitHub. If OpenAI suddenly declares it has achieved AGI and cuts off access, Microsoft would lose a huge strategic advantage. The ChatGPT maker has reportedly also told its investors that it expects to pay Microsoft a lower share of its revenue as it progresses.




## Most Popular

- Key sections of the US Constitution deleted from government's website
- Three weeks after acquiring Windsurf, Cognition offers staff the exit door
- Roku launches Howdy, a $2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue's AI-generated ad isn't just about fashion
- Lina Khan points to Figma IPO as vindication of M&A scrutiny
- Your public ChatGPT queries are getting indexed by Google and other search engines

A source told Bloomberg that OpenAI also hopes to guarantee that Microsoft deploys OpenAI's technology safely, especially as it nears AGI.



Microsoft also stands to gain from OpenAI becoming a for-profit company. The current setup caps investor returns, so a more standard structure would give Microsoft a chance to receive formal equity and significant returns, in addition to access to OpenAI's tech.

Bloomberg reports that the two companies have been negotiating an equity stake for Microsoft in the low- to mid-30% range.

*Got a sensitive tip or confidential documents? We're reporting on the inner workings of the AI industry — from the companies shaping its future to the people impacted by their decisions. Reach out to Rebecca Bellan at rebecca.bellan@techcrunch.com and Maxwell Zeff at maxwell.zeff@techcrunch.com. For secure communication, you can contact us via Signal at @rebeccabellan.491 and @mzeff.88.*

Topics: AGI AI Microsoft OpenAI

Rebecca Bellan
Senior Reporter

Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk's broader empire, autonomy, AI, electrification, g...

View Bio

KEEP READING


IMAGE CREDITS: MICHAEL KOVAC / VANITY FAIR / GETTY IMAGES

AI

# Elon Musk sues OpenAI and Sam Altman over 'betrayal' of nonprofit AI mission

Manish Singh — 2:30 AM PST · March 1, 2024

Elon Musk has sued OpenAI, its co-founders Sam Altman and Greg Brockman, and its affiliated entities, alleging the ChatGPT makers have breached their original contractual agreements by pursuing profits instead of the nonprofit's founding mission to develop AI that benefits humanity.

Musk, a co-founder and early backer of OpenAI, claims Altman and Brockman convinced him to help found and bankroll the startup in 2015 with promises it would be a nonprofit focused on countering the competitive threat from Google. The founding agreement required OpenAI to make its technology "freely available" to the public, the lawsuit alleges.

The lawsuit, filed in a court in San Francisco late Thursday, says that OpenAI, the world's most valuable AI startup, has shifted to a for-profit model focused on commercializing its AGI research after partnering with Microsoft, the world's most valuable company, which has invested about $13 billion into the startup.

"In reality, however, OpenAI, Inc. has been transformed into a closed-source de facto subsidiary of the largest technology company in the world: Microsoft. Under its new board, it is not just developing but is actually refining an AGI to maximize profits for Microsoft, rather than for the benefit of humanity," the lawsuit adds. "This was a stark betrayal of the Founding Agreement."

The lawsuit follows Musk airing concerns about OpenAI's shift in priorities in the past year. According to the legal complaint, Musk donated over $44 million to the nonprofit between 2016 and September 2020. For the first several years, he was the largest contributor to OpenAI, the lawsuit adds. Musk, who left OpenAI's board in 2018, has been offered a stake in the for-profit arm of the startup but has refused to accept it over a principled stand, he said earlier.

X, the social network owned by Musk, last year launched Grok, a rival to ChatGPT.

Altman has also addressed some of Musk's concerns in the past, including the close ties with Microsoft. "I like the dude. I think he's totally wrong about this stuff," he said of Musk's criticisms at a conference last year. "He can sort of say whatever he wants but I'm like proud of what we're doing and I think we're going to make a positive contribution to the world and I try to stay above all that."

On Jun 24, 2015, at 10:24 AM, Sam Altman <[redacted]> wrote:

<!--[if !supportLists]-->1) <!--[endif]-->The mission would be to create the first general AI and use it for individual empowerment—ie, the distributed version of the future that seems the safest. More generally, safety should be a first-class requirement.

<!--[if !supportLists]-->2) <!--[endif]-->I think we'd ideally start with a group of 7-10 people, and plan to expand from there. We have a nice extra building in Mountain View they can have.

<!--[if !supportLists]-->3) <!--[endif]-->I think for a governance structure, we should start with 5 people and I'd propose you, [redacted], [redacted], [redacted] and me. The technology would be owned by the foundation and used "for the good of the world", and in cases where it's not obvious how that should be applied the 5 of us would decide. The researchers would have significant financial upside but it would be uncorrelated to what they build, which should eliminate some of the conflict (we'll pay them a competitive salary and give them YC equity for the upside). We'd have an ongoing conversation about what work should be open-sourced and what shouldn't. At some point we'd get someone to run the team, but he/she probably shouldn't be on the governance board.

<!--[if !supportLists]-->4) <!--[endif]-->Will you be involved somehow in addition to just governance? I think that would be really helpful for getting work pointed in the right direction getting the best people to be part of it. Ideally you'd come by and talk to them about progress once a month or whatever. We generically call people involved in some limited way in YC "part-time partners" (we do that with Peter Thiel for example, though at this point he's very involved) but we could call it whatever you want. Even if you can't really spend time on it but can be publicly supportive, that would still probably be really helpful for recruiting.

<!--[if !supportLists]-->5) <!--[endif]-->I think the right plan with the regulation letter is to wait for this to get going and then I can just release it with a message like "now that we are doing this, I've been thinking a lot about what sort of constraints the world needs for safefy." I'm happy to leave you off as a signatory. I also suspect that after it's out more people will be willing to get behind it.

Sam

AN EMAIL EXCHANGE BETWEEN MUSK AND ALTMAN, PRESENTED AS EVIDENCE IN THE LAWSUIT.

**IMAGE CREDITS:** TECHCRUNCH/SCREENSHOT

The Thursday lawsuit alleges close alignment between Microsoft and OpenAI, citing a recent interview with Nadella.

Amid a dramatic leadership shake-up at OpenAI late last year, Nadella stated that if “OpenAI disappeared tomorrow … we have all the IP rights and all the capability. We have the people, we have the compute, we have the data, we have everything. We are below them, above them, around them.” The lawsuit presents this as evidence that OpenAI has strongly served Microsoft’s interests.

The lawsuit also centers around OpenAI’s GPT-4, which Musk claims constitutes AGI — an AI whose intelligence is at par, if not higher, than humans. He alleges OpenAI and Microsoft have improperly licensed GPT-4 despite agreeing that OpenAI’s AGI capabilities would remain dedicated to humanity.

Through the lawsuit, Musk is seeking to compel OpenAI to adhere to its original mission and bar them from monetizing technologies developed under its nonprofit for the benefit of OpenAI executives or partners like Microsoft.

The suit also requests the court rule that AI systems like GPT-4 and other advanced models in development constitute artificial general intelligence that reaches beyond licensing agreements. In addition to injunctions forcing OpenAI’s hand, Musk asks for accounting and potential restitution of donations meant to fund its public-minded research should the court find it now operates for private gain.

“Mr. Altman hand-picked a new Board that lacks similar technical expertise or any substantial background in AI governance, which the previous board had by design. Mr. D’Angelo, a tech CEO and entrepreneur, was the only member of the previous board to remain after Mr. Altman’s return. The new Board consisted of members with more experience in profit-centric enterprises or politics than in AI ethics and governance,” the lawsuit adds.

Topics: AI Elon Musk greg brockman OpenAI sam altman

**Manish Singh**
Reporter, India

Manish Singh is a senior reporter at TechCrunch, covering India's startup scene and venture capital investments. He also reports on...

View Bio

KEEP READING

IMAGE CREDITS: MICROSOFT

# Microsoft invests $1 billion in OpenAI in new multiyear partnership

Darrell Etherington — 6:37 AM PDT · July 22, 2019

Microsoft is making a $1 billion bet on OpenAI, the company formed by notable founders including Elon Musk and Sam Altman three years ago with the aim of doing research and development work to steer the growth of artificial intelligence toward the "friendlier" end of the spectrum, in order to help mitigate what Musk sees as a potential existential threat from AI if it isn't developed responsibly while it grows in capability.

On Monday, Microsoft and OpenAI announced a multiyear "exclusive computing partnership" that will include the two companies building new AI supercomputing technologies for Microsoft's Azure cloud platform, and OpenAI will also port its existing services to work on Azure. Microsoft will also now be "OpenAI's preferred partner" when it comes to the commercialization of new AI technologies it develops in the future.

All the talk of "exclusivity" and "preference" in this announcement is particularly interesting because one of OpenAI's founding principles was to "freely collaborate" among other AI researchers, and make both its work and patents available to others. But there are some caveats, including that there is OpenAI Inc. the nonprofit organization, and its for-profit corporate subsidiary OpenAI LP, and that its current charter includes a provision that out of "safety and security concerns" it may reduce its public publishing of its work as it moves forward.

The goal of this partnership for Microsoft seems to be to provide it an edge in building out a broad-scale Azure AI platform, and ensure its supercomputing technologies are involved in the development of artificial general intelligence. OpenAI benefits because Microsoft will be party to its principles around developing advances in AGI safely and with humanity's interest in mind — and there's the $1 billion, too.

~~This $1 billion isn't a lump-sum up-front investment — instead, it's a total amount that can be delivered anytime over the next decade, in installments that correspond with funding efforts on OpenAI's side that feed back into Microsoft's own AI ambitions, as detailed by The New York Times.~~

While the exact breakdown of the nature of the investment wasn't made public, an account apparently belonging to CTO Greg Brockman on HackerNews said that it was "a cash investment."

**Update** (11:30am PT): *long after the press releases hit the wire at 6am this morning, OpenAI contacted us with a bit more detail about the announcement. Here is the statement we received from OpenAI co-founder and CTO Greg Brockman: "It's a cash investment into OpenAI LP. It uses a standard capital commitment structure, to be called as we need it. We plan to spend it in less than five years, and possibly much sooner."*

At its launch, OpenAI noted that it had $1 billion committed from Musk, Altman and co-founder Brockman, as well as Reid Hoffman, Jessica Livingston, Peter Thiel, Amazon Web Services (this makes the Azure angle here particularly interesting), Infosys and YC Research, though it did not anticipate spending that much in the ensuing few years.

Topics: AI Amazon Web Services articles Artificial Intelligence (AI) Azure computing Elon Musk greg brockman infosys jessica livingston Microsoft OpenAI Reid Hoffman sam altman Startups technology web services

Darrell Etherington
Editor at Large

Writer covering space, science and health tech. Formerly covering automotive and mobility tech, and previously an employee of Apple a...

View Bio